

FORM TP 2010105



TEST CODE **01240032**

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C A R I B B E A N E X A M I N A T I O N S C O U N C I L

**SECONDARY EDUCATION CERTIFICATE
EXAMINATION**

PRINCIPLES OF BUSINESS

Paper 03/2 – General Proficiency

1 hour

Answer ALL the questions.

**In addition to the 1 hour, candidates are allowed
15 minutes to read through this paper. Writing
MAY begin during this time.**

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Read the following case study and answer the questions that follow.

CASE STUDY

MUSS FIELDS WEEKLY

Sally Wells started a local newspaper five years ago with two of her cousins, Jody and Carla Pew. They started out with a business plan, having done a feasibility study within their community, Muss Fields, and neighbouring communities. Muss Fields is a large community with many youth groups. It boasts several churches, banks, insurance companies and other manufacturing concerns. The only challenge faced by the business came from two national papers that did not really address the issues of Muss Fields.

Sally is the Managing Editor, Jody deals with finances, sales, purchasing and promotions, while Carla heads the production department and deals with the various personnel involved with the firm. 'Start-up' capital was difficult to acquire. However, with expert marketing and managerial skills, within five years they were able to repay loans they received from relatives and friends.

By the end of the first year they had formed a small limited liability company which operated from the front room and garage at Jody's parents' house. The business was able to raise some additional capital from a local bank. Initially the business was very time consuming and required a great deal of flexibility as they found themselves working long hours doing all sorts of jobs.

There was the constant need to get sufficient numbers of advertisers and sponsors for articles to keep the cost of the paper down. However, there was the problem of getting them to pay promptly. Another problem was getting the articles from contributors who were always tardy.

Production cost had risen four times since the firm started operations. Most of their suppliers had to import materials and were using the hike in oil prices as an excuse to increase prices. However, there was always the option to purchase on the parallel market. After the fifth year the company reorganized to include a marketing manager and ten full-time employees who work in finance, production and marketing.

They have an excellent team of writers, although every year or so one has to be replaced. However, in recent times the government wants all journalists and writers to pay a large registration and licensing fee. The professional organization has been lobbying for a reduction in these fees. Despite the many challenges, *Muss Fields Weekly* decided to expand to become a daily newspaper.

Complete the Business Plan below using the information from the case.

BUSINESS PLAN

THE OPERATIONAL PLAN

1. Nature and Type of Business

Classify the business based on

- (a) level of production

(1 mark)

- (b) ownership type

(1 mark)

2. Internal Structure of the Organization

Draw an organizational chart of the business.

(2 marks)

3. Management Functions

Identify TWO functions performed by the management of the business.

(2 marks)

4. Ethical Issues

Identify TWO ethical issues that must be taken into consideration in the operation of the business.

(2 marks)

5. Executive Summary

Give a concise statement concerning the operation of the business.

(2 marks)

Total 10 marks

6. THE MARKETING PLAN

Market Research

Describe TWO methods that the business can use to conduct market research.

(2 marks)

7. Industry Trend

Evaluate the prospects for growth and survival of this type of industry.

(2 marks)

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8. Size of Market

How many competitors operate in this market?

(1 mark)

9. Target Market

Describe the target market of the business.

(2 marks)

10. Pricing Strategies

Describe how prices are likely to be determined.

(2 marks)

11. Promotional Strategies

List THREE promotional strategies that the business can use to promote its products.

(3 marks)

12. Distribution Strategies

Identify TWO strategies that the business can use to supply its products to consumers.

(2 marks)

13. Executive Summary

Give a concise statement on the reason why the marketing plan is likely to be successful.

(2 marks)

Total 16 marks

THE FINANCIAL PLAN (Financial Statement)

14. Sources of Finance

Identify TWO sources from which the business can obtain its capital.

(2 marks)

15. Collateral

Identify TWO items that can be used by the business as collateral to secure funding.

(2 marks)

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16. Capital Instruments

Identify TWO methods that can be used by the business to raise capital.

(2 marks)

17. Potential for Growth

Outline how growth of the business can be achieved.

(2 marks)

18. Government Regulations

Identify FOUR government regulations to which the business must adhere.

(4 marks)

19. Executive Summary

Give a concise statement regarding the financial status of the business.

(2 marks)

Total 14 marks

END OF TEST